

Lecture 16: State Classification

APRIL 6

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16.1 Transient and Recurrent States

Example 16.1 (Gambler's Ruin). *Suppose for simplicity that $N = 4$ in Example 1.1, so that the transition probability is*

	0	1	2	3	4
0	1.0	0	0	0	0
1	0.6	0	0.4	0	0
2	0	0.6	0	0.4	0
3	0	0	0.6	0	0.4
4	0	0	0	0	1.0

Question 1. *Compute p^n for a few values of n . What does that tell us about the qualitative nature of the states?*

Solution 1.

$$p^2 = \begin{pmatrix} 1.00 & 0 & 0 & 0 & 0 \\ 0.60 & 0.24 & 0 & 0.16 & 0 \\ 0.36 & 0 & 0.48 & 0 & 0.16 \\ 0 & 0.36 & 0 & 0.24 & 0.40 \\ 0 & 0 & 0 & 0 & 1.00 \end{pmatrix}, \quad p^{200} \approx \begin{pmatrix} 1 & 0 & 0 & 0 & 0 \\ 57/65 & 0 & 0 & 0 & 8/65 \\ 45/65 & 0 & 0 & 0 & 20/65 \\ 27/65 & 0 & 0 & 0 & 38/65 \\ 0 & 0 & 0 & 0 & 1 \end{pmatrix}$$

Question 2. *Are we guaranteed to return to 0 and 4? Infinitely often?*

Solution 2. *Since $p(0, 0) = 1$, it is an absorbing state, the chains come back on the next step with probability 1,*

$$\mathbb{P}_0(T_0 = 1) = 1.$$

This means $\rho_{00} = 1$, so we know that it is recurrent.

Since $p(4, 4) = 1$, it is an absorbing state, the chains come back on the next step with probability 1,

$$\mathbb{P}_4(T_4 = 1) = 1.$$

This means $\rho_{44} = 1$, so we know that it is recurrent.

Question 3. *Can we start at 1 and return to 1? (Hint: think about $p^2(1, 1)$).*

Solution 3.

$$p^2 = \begin{pmatrix} 1.00 & 0 & 0 & 0 & 0 \\ 0.60 & 0.24 & 0 & 0.16 & 0 \\ 0.36 & 0 & 0.48 & 0 & 0.16 \\ 0 & 0.36 & 0 & 0.24 & 0.40 \\ 0 & 0 & 0 & 0 & 1.00 \end{pmatrix}$$

Yes, the easiest such example is I have to go from $1 \rightarrow 2 \rightarrow 1$, which happens with $p(1,2)p(2,1) = 0.4 \cdot 0.6 = 0.24$.

Question 4. Are we guaranteed to start at 1 and return to 1?

Solution 4. If the chain goes to 0, it will never return to 1, so the probability of starting at 1 and not returning is

$$\mathbb{P}_1(T_1 = \infty) \geq p(1,0) = 0.6 > 0.$$

Of course there are other ways to make this happen, but this is the easiest.

Question 5. Are we guaranteed to start at 3 and return to 3?

Solution 5. If the chain goes to 4, it will never return to 3, so the probability of starting at 3 and not returning is

$$\mathbb{P}_3(T_3 = \infty) \geq p(3,4) = 0.4 > 0.$$

Question 6. Are we guaranteed to start at 2 and return to 2?

Solution 6. If the chain goes to 0, it will never return to 2, so the probability of starting at 2, going to 1, going to 0, and not returning is

$$\mathbb{P}_2(T_2 = \infty) \geq p(2,1)p(1,0) = 0.6 \times 0.6 = 0.36 > 0.$$

Another way we can show that we can start at 2 and never return to 2 is below: If the chain goes to 4, it will never return to 2, so the probability of starting at 2, going to 3, going to 4, and not returning is

$$\mathbb{P}_2(T_2 = \infty) \geq p(2,3)p(3,4) = 0.4 \times 0.4 = 0.16 > 0.$$

Lastly, by looking at $p^2(i,j)$ we see the very same answers:

$$p^2 = \begin{pmatrix} 1.00 & 0 & 0 & 0 & 0 \\ 0.60 & 0.24 & 0 & 0.16 & 0 \\ 0.36 & 0 & 0.48 & 0 & 0.16 \\ 0 & 0.36 & 0 & 0.24 & 0.40 \\ 0 & 0 & 0 & 0 & 1.00 \end{pmatrix}$$

Example 16.2. We recall the transition probability of the social mobility chain:

	Lower	Middle	Upper
Lower	0.7	0.2	0.1
Middle	0.3	0.5	0.2
Upper	0.2	0.4	0.4

To determine which states we return to we have to use a slightly different argument.

The reason is: unlike last time, we can get from any state to any other state. We don't have any absorbing states.

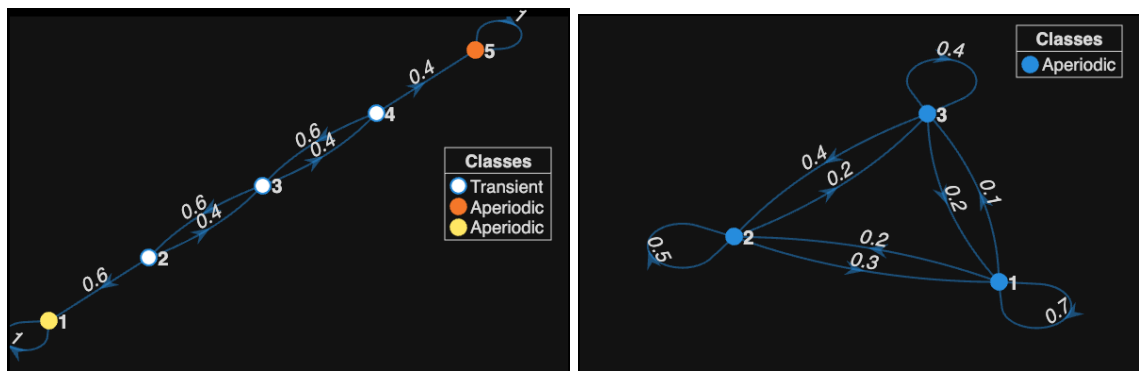


Figure 16.1: Comparing Chains to understand returning

To begin we note that no matter where X_n is, there is a probability of at least 0.1 of hitting 3 on the next step so

$$\mathbb{P}_3(T_3 > n) \leq 0.9^n$$

Since $0.9 \leq 1.0$, then as we go further and further, we see that this $(0.9)^n \rightarrow 0$ as $n \rightarrow \infty$.

This proves that the probability of starting at Upper class (state 3) and not returning in the first n generations becomes very rare. So this means you have to return, since those are two mutually exclusive events.

The same argument can be formulated for $\mathbb{P}_i(T_i > n) \leq 0.8^n$ for $i = \{1, 2\} = \{\text{lower, middle}\}$. This means all the states are recurrent. You have to return, and by the (strong) Markov property, you will return infinitely often.

Definition 16.3. Let

$$T_y = \min\{n \geq 1 : X_n = y\}$$

be the time of the first return to y (i.e., being there at time 0 doesn't count) and let

$$\rho_{yy} = \mathbb{P}_y(T_y \leq \infty)$$

be the probability X_n returns to y when it starts at y .

Definition 16.4. Let

$$T_y^k = \min\{n > T_y^{k-1} : X_n = y\}$$

be the time of the k^{th} return to y . Remember starting at y and returning is ρ_{yy} , and by the strong Markov property, we know that the time for k returns is

$$\mathbb{P}_y(T_y^k \leq \infty) = \rho_{yy}^k.$$

This means one of two things:

- $\rho_{yy} < 1$: The probability of returning k times is $\rho_{yy}^k \rightarrow 0$ as $k \rightarrow \infty$. Thus, eventually the Markov chain does not find its way back to y . In this case the state y is called *transient*, since after some point it is never visited by the Markov chain.
- $\rho_{yy} = 1$: The probability of returning k times $\rho_{yy}^k = 1$, so the chain returns to y infinitely many times. In this case, the state y is called *recurrent*, it continually recurs in the Markov chain.

Definition 16.5. We say x communicates with y and write $x \rightarrow y$ if there is a positive probability of reaching y from x :

$$\rho_{xy} = \mathbb{P}_x(T_y < \infty) > 0.$$

Question 7. Can we chain these properties together? What does this say about $x \rightarrow y$ and $y \rightarrow z$?